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Recycling with the Best

Weekly Ship Recycling Report

26 October - 04 November 2024

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Highlights of the week

This week in the ship recycling market presented a rather subdued and cautious outlook, with little sign of positive momentum across regions. In India, market operations resumed today following the Diwali holiday, but there was a noticeable sense of hesitation among industry players, who are warily observing how demand unfolds in the post-festival period. Although there are hints of buying interest at current prices, the sentiment remains restrained, and substantial activity has yet to materialize. In Bangladesh, while prices have inched up from previously reported levels, this shift does not indicate any real improvement in market value. Instead, the adjustment reflects temporary, speculative positioning rather than genuine demand, and prices are anticipated to revert to prior levels by next week. Pakistan's market remained largely inactive, with trading slowing to a near halt and market participants reluctant to make significant moves amid an uncertain outlook. Meanwhile, Türkiye's market continued in its dormant state, with no substantial change in activity or pricing. Overall, this week highlighted an industry largely in a holding pattern, with minimal optimism or clear signs of growth across the major recycling markets.

Global economic growth is expected to remain steady at around 3% next year, supported by a strong U.S. economy and anticipated interest rate cuts by major central banks. U.S. consumer spending fuels optimism, while Asia shows a mixed picture: India's growth stays strong, but China faces challenges that may require significant stimulus. The outlook is positive overall, though potential policy changes in the upcoming U.S. election could introduce some uncertainty.

Exchange Rates:

USD / INR ₹

This Week	: 84.12
Previous Week	: 84.08
Lost	: 0.04

USD / BDT ৳

This Week	: 119.61
Previous Week	: 119.51
Gained	: 0.1

USD / PKR Rs

This Week	: 277.58
Previous Week	: 277.72
Gained	: 0.14

USD / TRY ₺

This Week	: 34.35
Previous Week	: 34.28
Lost	: 0.07

India

Market resumes after Diwali: Observations continue as initial outcomes remain uncertain.

- The market commenced operations today following the Diwali break, with industry stakeholders attentively assessing the market's response and performance as it resumes activities in the post-festival landscape.
- There are emerging indications of buying interest at the current price levels.
- India is expected to surpass both Japan and the United Kingdom, securing the fourth spot among the top world economies by 2025, according to the International Monetary Fund (IMF). The IMF projects India's GDP to reach $4,340 billion.
- India's steel trade deficit for the first half of the fiscal year 2025 (April to September 2024) has widened to ₹19,404 crore, more than doubling from ₹9,036 crore in the previous fiscal year, as the country continued to be a net importer of the metal.

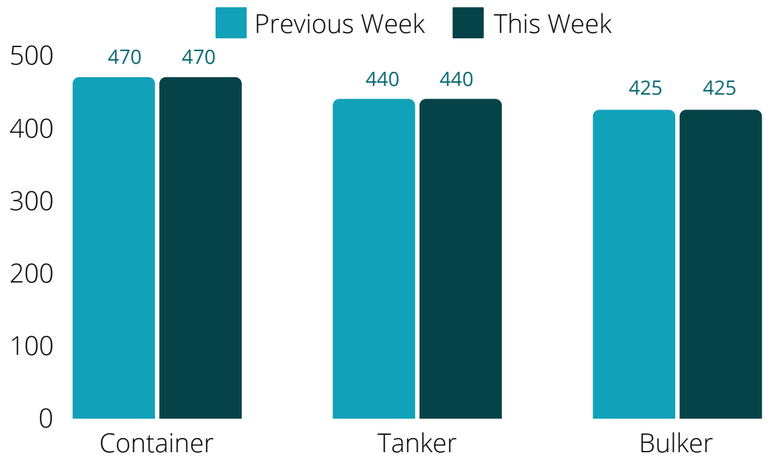
Beaching Dates

04 November to 07 November 2024

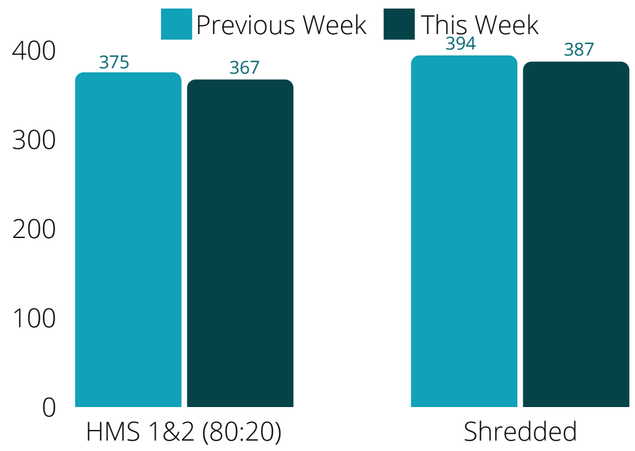
14 November to 21 November 2024

29 November to 07 December 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



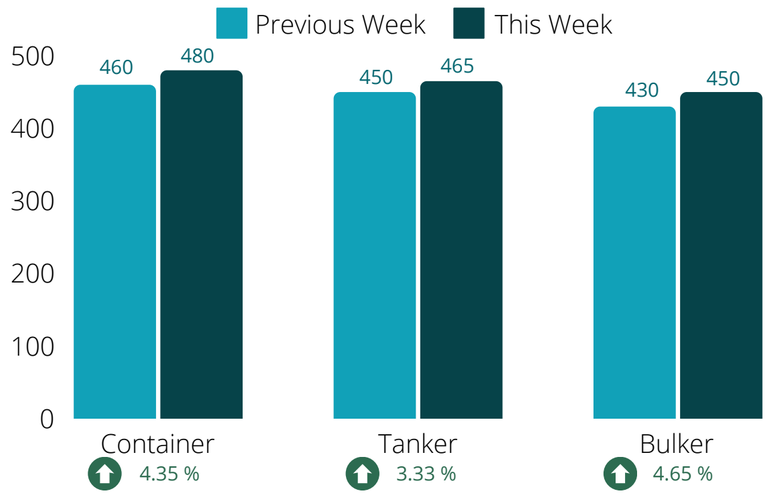
Bangladesh

Market conditions unchanged as prices temporarily rebound, reversion expected soon.

- While market fundamentals remain unchanged, prices have rebounded from the previously reported levels to their current positions. However, this increase does not reflect a genuine growth in value. The adjustment was based on today's market conditions and anticipated buyer offers. We expect prices to revert to the levels outlined in our prior report within the next week.

- Ship recycling yards in Bangladesh have invested nearly $240 million (Tk2,000 crore) to meet HKC standards, with approximately 20 yards pausing operations to upgrade their facilities, according to the Bangladesh Ship Breakers and Recyclers Association (BSBRA). The industry has long faced pressure to implement these essential reforms.

Price for Recycling Ships in Bangladesh



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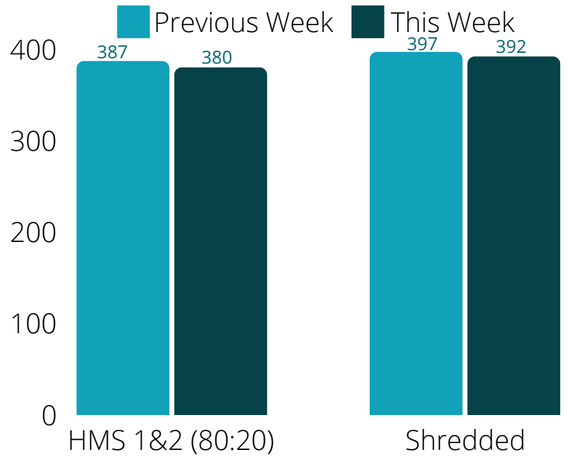


Beaching Dates

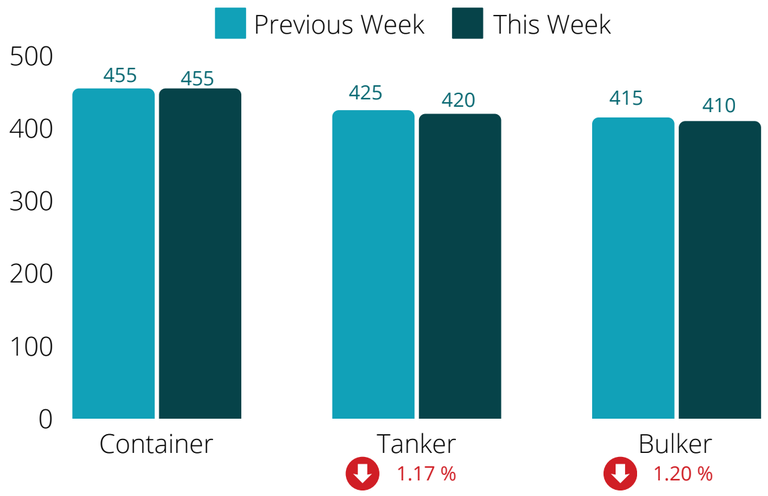
14 November to 17 November
30 November to 03 December
14 December to 03 December

Pakistan

The market remains unchanged; an interest rate cut could spark some change.

- The market currently seems unchanged, with activity subdued compared to recent weeks as it remains in a holding pattern.
- Pakistan has reduced its benchmark interest rate by 250 basis points to 15%, the lowest in two years, to support its struggling economy. The State Bank of Pakistan stated that the policy aims to maintain inflation within the 5%-7% range, ensure macroeconomic stability, and promote sustainable economic growth.
- The interest rate cut is expected to break this stagnation, potentially providing the market with a much-needed boost over the next quarter.

Price for Recycling Ships in Pakistan



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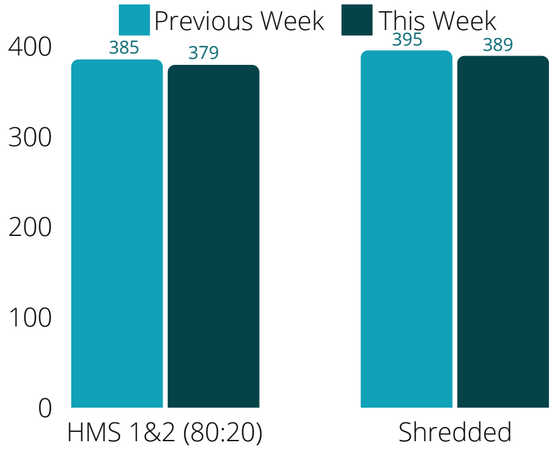


Beaching Dates

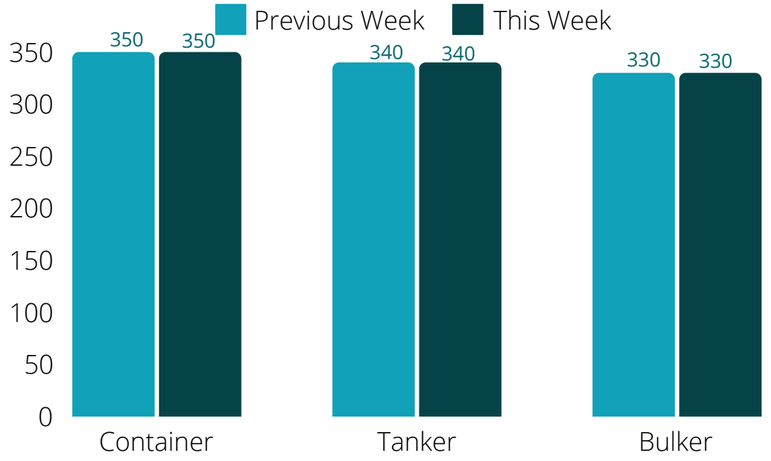
Throughout the month

Türkiye

The market remains just the same , maintaining Its established inactivity.

- The market remains dormant and unchanged, exhibiting low activity levels similar to the previous week.
- Turkey's credit rating has been raised for the second time this year, with the upgrade attributed to the government's strict monetary policies that have helped stabilize the nation’s economy.
- Türkiye produced 3.09 million tons of steel in September, marking a 6.5% year-over-year increase but a 1.7% decline from August. From January to September, total steel production reached 27.91 million tons.

Price for Recycling Ships in Türkiye



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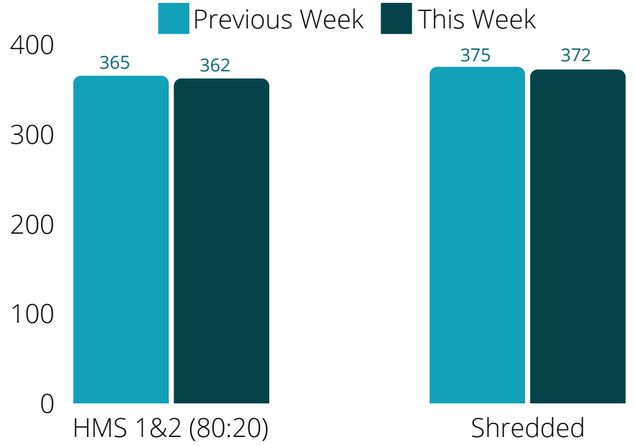
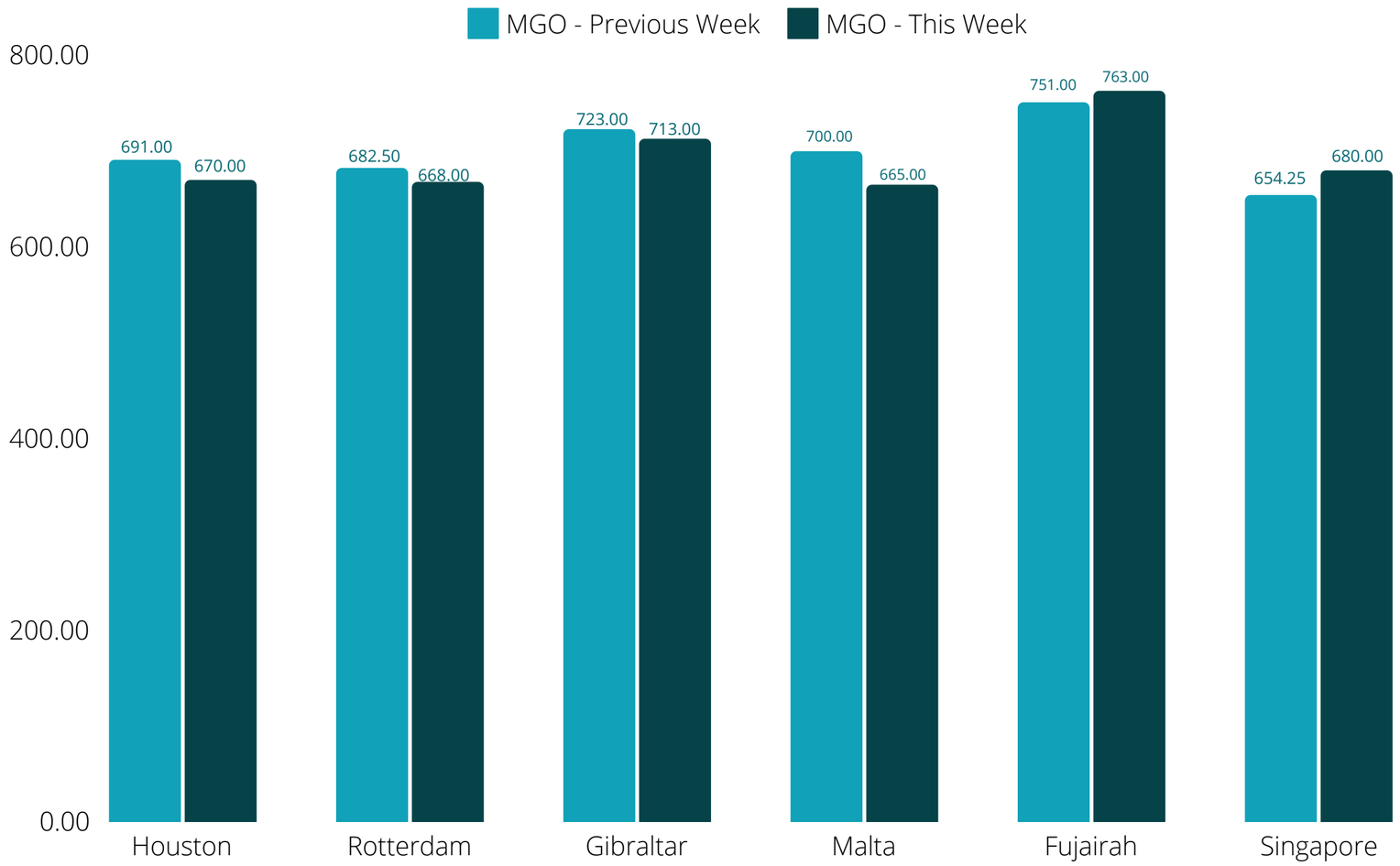


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 74.80
Previous Week	: 75.37
Movement	: - 0.57

WTI Crude

This Week	: 71.26
Previous Week	: 71.18
Movement	: + 0.08

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
VENIA	BULKER	9221229	2001	SOUTH KOREA	23,118	DELIVERED	GADANI, PAKISTAN	UNDISCLOSED
MUSA OBA	GENERAL CARGO SHIP	8811405	2002	TURKIYE	6,769	DELIVERED	ALIAGA, TURKIYE	UNDISCLOSED
ARMADA SEJATI	CONTAINER	9031727	1990	JAPAN	3,322	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
HORIZON ENTERPRISE	CONTAINER	7617905	1980	USA	13,667	AS-IS	SAN DIEGO, USA	315

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